

Backtesting

PRO FURTHER READING

Want to go deeper on backtesting methodology? These are free, reputable, and worth bookmarking.

Investopedia - Backtesting

<https://www.investopedia.com/terms/b/backtesting.asp>

A detailed walkthrough of backtesting and common pitfalls.

Investopedia - Overfitting

<https://www.investopedia.com/terms/o/overfitting.asp>

Explains overfitting, one of the two failure modes covered in this lesson.

Investopedia - Survivorship Bias

<https://www.investopedia.com/terms/s/survivorshipbias.asp>

Covers survivorship bias and how it can silently inflate backtested results.

Investopedia - Slippage

<https://www.investopedia.com/terms/s/slippage.asp>

Explains slippage, one of the realistic trading costs referenced in this lesson.

Investopedia

<https://www.investopedia.com/>

A huge library of plain-English financial explainers, useful for looking up any term from this lesson.

Please note:

these are general educational resources, not personalized financial advice. No strategy or backtest result described is a recommendation to trade. Consult a licensed financial advisor before making investment decisions.